

ROI Calculator

Return on Investment Analysis

United States · USD (\$)

fincalcsmart.com/roi-calculator

EXECUTIVE SUMMARY

Caution

-20.0%

Return on Investment
net loss

-\$4,000

Net Loss
vs. \$20,000 cost

\$20,000

Total Cost
initial cost

20/100

ROI Health Score
Poor

COST RECOVERY VS. NET LOSS

80%

20%

Total projected: \$20,000

Recovered Value: \$16,000 (80.0%) Net Loss: \$4,000 (20.0%)

AI-ASSISTED ROI SUMMARY

This investment returned a final value of \$16,000 against a total cost of \$20,000, resulting in a net loss of \$4,000 and an ROI of -20.0%. Annualized over the 3 years holding period, this equates to -7.2% per year. To recover all costs, the final value would need to increase by an additional \$4,000.

The break-even point is \$20,000 — the value at which total costs are exactly recovered. The current final value of \$16,000 is \$4,000 short of this threshold. Adding a Target ROI % to the calculator enables personalized goal tracking.

Over the 3 years holding period, the total ROI of -20.0% equates to an annualized return of -7.2% per year. Annualizing enables comparison across investments with different holding periods on a consistent basis. These figures are pre-tax and do not account for opportunity cost, inflation, or risk.

INPUTS & ASSUMPTIONS

Initial Investment / Cost	\$20,000
Final Value / Revenue	\$16,000
Holding Period	3 years

SCENARIO BREAKDOWN

Initial Cost	\$20,000
Total Cost	\$20,000
Final Value	\$16,000
Net Loss	-\$4,000
ROI	-20.0%
Annualized ROI	-7.2% / year
ROI Health Score	20/100 (Poor)

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- ROI Health Score: 20/100 (Poor). This investment returned -20.0% — a loss of \$4,000 relative to total cost. Break-even requires the final value to reach \$20,000, a gap of \$4,000.
- Annualized return: the total ROI of -20.0% over 3 years equates to -7.2% per year compounded. This enables direct comparison with other investments held for different periods.

METHODOLOGY

What this calculator models:

- Calculates ROI as $(\text{Net Profit} / \text{Total Cost}) \times 100$, where Net Profit = Final Value minus Total Cost (initial cost plus any additional costs). A positive result indicates a gain; a negative result indicates a loss.
- Computes annualized ROI using the compound annual growth rate formula: $(1 + \text{ROI}/100)^{(1/\text{years})} - 1$. This normalizes returns across investments held for different periods.
- Calculates the ROI Health Score from the raw ROI percentage using a linear scale centered at break-even (0% ROI = score 50); strong positive returns score toward 100, losses score toward 0.
- Target tracking: if a Target ROI % is entered, the calculator computes the target final value and the gap or surplus versus the actual final value, expressed as a percentage of progress toward the goal.

What this calculator does not model:

- Taxes on gains, capital gains tax rates, tax-loss harvesting, or jurisdiction-specific tax treatment.
- Risk-adjusted returns, volatility, or opportunity cost relative to alternative investments.
- Inflation — all values are nominal and not adjusted for changes in purchasing power.

EDUCATIONAL DISCLAIMER

This report is for illustrative and informational purposes only. Results are calculated from the values entered and represent a simplified return-on-investment analysis. Actual investment outcomes depend on taxes, fees, financing costs, inflation, market conditions, risk, and other factors not modeled here. The ROI Health Score is a relative indicator based on the entered figures and does not constitute a rating, guarantee, or prediction of investment performance. Target ROI projections are illustrative only. Results do not constitute financial, investment, tax, legal, or business advice. Consult a qualified professional before making financial or investment decisions.